

Turkey's Strategic Pivot

Erdogan, S-400, Bayraktar, and the NATO Ally That Plays Both Sides

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Executive Summary

Turkey has been a NATO member since 1952, and the alliance's enlargement history underscores how long Ankara has occupied a position of structural significance within Western collective defence [RAG: CONFLICT_RAG — NATO Enlargement]. President Recep Tayyip Erdogan has systematically leveraged that membership to pursue a multipolarity that sits in deep tension with the alliance's foundational premises, while domestic political conditions — marked by eroding economic credibility and the arrest of the country's most prominent opposition figure — have increasingly constrained his room for manoeuvre.

Part I — Erdogan's Turkey: The Political Landscape

The July 2016 coup attempt was the defining event that accelerated Erdogan's consolidation of state power and drove an immediate rapprochement with Moscow. Within weeks of the coup, Erdogan travelled to Russia to meet Vladimir Putin — a visit Turkish officials insisted was no sign that the NATO member was pivoting eastward, but which produced working-level discussions on TurkStream and nuclear power projects CNA[2016-08-06]. The coup also strained relations with Washington over Ankara's demand for the extradition of cleric Fethullah Gulen, who had lived in self-imposed exile in Pennsylvania since 1999 and whom Erdogan blamed for orchestrating the attempt CNA[2016-08-06].

Turkey's electoral environment has been characterised by systematic harassment of the opposition. Freedom House assessed that Turkey's elections feature harassment, arrests, and criminal prosecutions of opposition leaders and journalists, alongside media dominance and abuse of state resources — a pattern in which opposition losses reinforce the perceived dominance of an increasingly authoritarian incumbent [RAG: HUMAN_RIGHTS_RAG — Freedom House — Freedom in the World 2024 (2024-01-01)]. Turkey ranked 158th in the Reporters Without Borders press freedom index following Erdogan's reelection, continuing a sustained decline [RAG: HUMAN_RIGHTS_RAG — RSF World Press Freedom Index 2024 Report (2024-01-01)].

The arrest of Istanbul Mayor Ekrem Imamoglu triggered Turkey's most acute political-economic crisis in years. When Imamoglu was detained on corruption charges, Turkish stocks tumbled and the lira came under severe pressure FT[2025-03-21]. The HDP — Turkey's principal pro-Kurdish political party — faced a closure case before the Constitutional Court and did not enter the election directly, instead recommending supporters vote for another party whose candidates won 61 seats [RAG: HUMAN_RIGHTS_RAG — HRW World Report 2024: Turkey (2024-01-01)]. Turkey continues to host the world's largest number of refugees, with more than 2 million registered at time of reporting [RAG: HUMAN_RIGHTS_RAG — HRW World Report 2024: Turkey (2024-01-01)]; the political salience of this burden has grown as economic pressures intensify.

Part II — The Lira Crisis and Simsek's Orthodox Turn

The trajectory of the Turkish lira constitutes one of the most severe currency collapses in recent emerging-market history. The lira fell almost 80% against the US dollar over the four years to mid-2025, fuelled by high government spending following the devastating earthquake and pre-election stimulus that deepened the slowdown FT[2025-06-27]. Current account deficits rose to around 10% of GDP in 2025, while negative net reserves stood at approximately minus \$60bn and foreign direct investment equivalent to only 1% of GDP underscored the structural fragility of the external position FT[2025-06-27].

Finance Minister Mehmet Simsek committed the economic team to an orthodox mix of ultra-high interest rates and tighter government spending — a programme that the European Bank for Reconstruction and Development's former lead Turkey economist described as appearing to work even as Erdogan was under pressure to abandon it FT[2025-06-27]. The central bank resumed its interest rate cutting cycle following evidence that the disinflation programme was taking hold, with Simsek stating publicly that the government would "continue to implement our programme with determination to permanently establish price stability" FT[2025-09-02]. The central bank forecast inflation to end the year at between 25% and a higher figure as the reform programme progressed FT[2025-09-02].

The March 2025 crisis tested the programme severely. Turkey spent \$12bn defending the lira in what the Financial Times described as a record intervention nearly four times larger than any previous such action, after the currency plunged as much as 11% against the US dollar following Imamoglu's arrest FT[2025-03-22]. By early 2026, Turkey's net international reserves had fallen by almost half to \$46bn since the Iran war began, and Turkey sold 52 tonnes of gold between that period as part of its reserve management FT[2026-04-09].

Part III — The Bayraktar TB2 and Turkey's Defence Industry

Turkey's Bayraktar TB2 unmanned combat aerial vehicle demonstrated strategic significance well beyond the battlefield utility expected from a mid-tier NATO ally's domestically developed system. At least one Ukrainian Bayraktar TB2 drone was nearby when the Russian cruiser Moskva was struck, and open-source analysis indicated the drone likely participated in the strike by providing real-time targeting information [RAG: MILITARY_RAG — NWC Review: Summer 2026 Full Issue (2020-01-01)].

The TB2 programme carries significant geopolitical complications for Turkey. Canada suspended its export of military drone technology to Turkey in October 2020 after allegations that the technology had been used to collect intelligence and direct artillery and missile fire at military positions during the Nagorno-Karabakh conflict — the TB2 utilises Canadian optics and laser targeting systems [RAG: CONFLICT_RAG]. Following the suspension, the Turkish defence electronics firm Aselsan stated it would begin serial production of a domestic replacement. Five Turkish companies appeared in the SIPRI Top 100 arms-producing and military services companies ranking for 2024, including MKE at rank 93, indicating the breadth of Turkey's expanding defence industrial base [RAG: MILITARY_RAG — SIPRI: The SIPRI Top 100 Arms-producing and Military Services Companies, 2024 (2025-01-01)].

Part IV — Syria and the Kurdish Question

Turkey's Syria intervention produced durable facts on the ground through Operation Peace Spring in October 2019, which established Turkish control over part of northeast Syria and resulted in Russia and Turkey negotiating the Sochi Agreement — under which YPG forces were required to pull back 30 km from the Turkish-Syrian border [RAG: CONFLICT_DATA_RAG — Wikipedia: Syrian civil war (2024-01-01)]. Russia arranged for negotiations between the Syrian government and Kurdish-led forces following the Turkish offensive and negotiated a renewal of a ceasefire between the Kurds and Turkey

that was about to expire [RAG: CONFLICT_RAG].

The US intelligence community assessed in 2021 that Turkey and Russia were likely to continue financial and military support to their respective proxies in Syria, while a UN-brokered ceasefire of October 2020 called for the departure of foreign forces — compliance with which remained uncertain [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2021 (2021-04-09)].

The PKK's armed campaign has intersected directly with Turkey's energy infrastructure. In July 2015, saboteurs attacked the pipeline carrying natural gas from Iran to Turkey in the eastern province of Agri, halting the flow — an attack bearing the hallmarks of the PKK, whose camps in northern Iraq had been the target of Turkish air operations CNA[2015-07-28].

Part V — Russia, Energy, and the Post-Coup Strategic Pivot

The diplomatic and energy relationship with Russia deepened significantly following the 2016 coup. When Erdogan travelled to St. Petersburg to meet Putin in August 2016, the agenda included TurkStream, nuclear power projects, and the resumption of Russian charter flights to Turkey that had been suspended after Turkey downed a Russian fighter jet CNA[2016-08-06]. The EU's inability to offer a credible alternative was noted at the time: "The EU wants to diversify suppliers and link eastern Mediterranean gas to Europe in the long run ... if Russia bypasses all that with TurkStream that would not help. But the EU is in no position to bargain. Politically, it is very weak" CNA[2016-08-06].

Putin's subsequent visit to Tehran in July 2022 for talks with the leaders of Iran and Turkey demonstrated the continuation of this triangular diplomatic architecture, as Moscow sought to deepen ties with regional powers amid its war in Ukraine CNA[2022-07-19].

Conclusion

Turkey's trajectory under Erdogan has combined extractive alliance politics — using NATO membership as a negotiating asset — with a domestic political deterioration documented by Freedom House, Human Rights Watch, and Reporters Without Borders. The lira crisis has been the most consequential constraint on Erdogan's strategic ambitions: the collapse of almost 80% against the dollar over four years FT[2025-06-27], the March 2025 \$12bn reserve intervention FT[2025-03-22], and negative net reserves of minus \$60bn FT[2025-06-27] have narrowed the fiscal space that previously underwrote Erdogan's geopolitical activism. Simsek's orthodox programme has partially restored credibility, but the arrest of Imamoglu demonstrated that political imperatives can override economic prudence at any moment. Turkey's structural position in NATO and its defence export ambitions — anchored by the Bayraktar TB2 programme — provide durable leverage regardless of domestic conditions, but that leverage is increasingly deployed from a position of economic vulnerability rather than strength.

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